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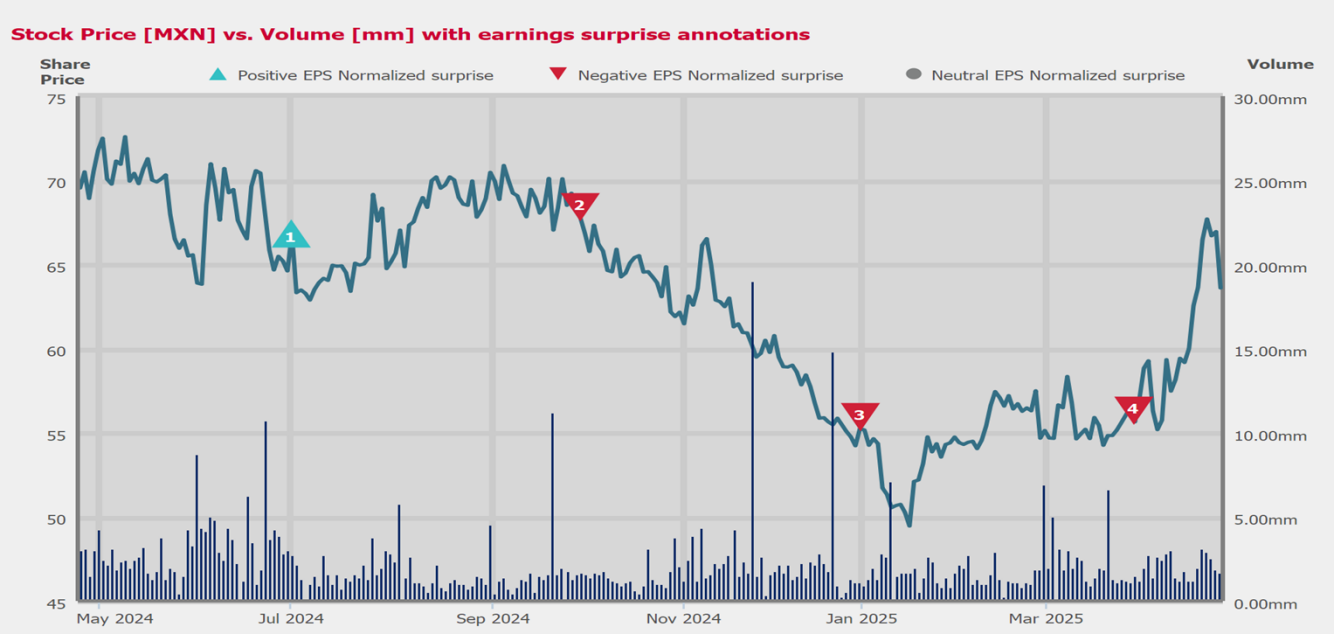
Grupo Bimbo, S.A.B. de C.V. BMV:BIMBO A FQ1 2025 Earnings Call Transcripts

Tuesday, April 29, 2025 10:00 PM GMT

S&P Global Market Intelligence Estimates

	-FQ1 2025-			-FQ2 2025-	-FY 2025-	-FY 2026-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.53	0.41	▼ (22.64 %)	0.80	3.18	NA
Revenue (mm)	104934.29	103726.00	▼ (1.15 %)	111047.00	442817.21	NA

Currency: MXN
Consensus as of Apr-30-2025 9:07 PM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ2 2024	0.71	0.76	1 7.04 %
FQ3 2024	0.97	0.85	2 (12.37 %)
FQ4 2024	0.84	0.72	3 (14.29 %)
FQ1 2025	0.53	0.41	4 (22.64 %)

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Presentation

Operator

Good day, and welcome to the First Quarter '25 Grupo Bimbo Results and Conference Call. [Operator Instructions] Please note, this event is being recorded.

I would now like to hand the conference over to Rafael Pamias, CEO of Grupo Bimbo. Please go ahead.

Rafael Pamias Romero
Chief Executive Officer

Good afternoon, everyone. Thank you for joining us. Connected on the line today are our CFO, Diego Gaxiola; Executive Vice President, Mark Bendix, along with several members of our finance team.

We kicked off 2025 with solid trends in most markets and facing some challenges and areas of opportunity in others, while navigating highly volatile macroeconomic and political landscapes in the world's leading economies. Despite these hurdles, our exceptional diversification and global presence enabled us to achieve record-breaking sales in the first quarter at a consolidated level and for Mexico and EAA as well, which led to positive volume contribution on a global basis. Furthermore, we experienced a high single-digit growth in EBITDA. And in our most profitable region, Mexico, we reached a 19% EBITDA margin, showcasing the remarkable strength and unwavering commitment of our frontline teams.

We're also pleased to report that the continued positive evolution in Latin America led us to achieve a 50 basis point increase in EBITDA. As a baking industry leader and relevant player in snacks, our continued success is built on innovation, operational excellence and our commitment to meet customers and consumers' needs across all markets. We remain confident in our ability to fire up sales volume everywhere and drive long-term value.

On our ESG journey, I am proud to share that we have been named one of the World's Most Ethical Companies for the ninth consecutive year. Also, 45% of our sales meet or exceed the 3.5 star benchmark under the Health Star rating system, demonstrating optimal nutritional quality and delivering positive nutrition in every bite.

Now looking into the results by region. In Mexico, sales improved by nearly 2%, mainly due to the positive mix effect. Despite a sequential softening in the consumption environment, we continue to see growth across most channels and geographies and categories, excuse me, with particularly strong performance in buns and rolls, sweet baked goods, cookies and snacks. We are encouraged by the resilience of our business and its continued ability to generate value in a challenging environment. The expansion of our margins under these conditions highlights the strength and flexibility of our operating model, reaching a record high of 19%, driven by a favorable mix, lower commodity costs and disciplined control of administrative expenses. Despite the slowdown in the consumer, we have maintained a strategic investment approach throughout the period, positioning the business for sustainable long-term growth.

In North America, excluding the FX effect, sales decreased 4.9% due to an industry-wide soft consumption environment in the U.S. where consumers continue to seek pricing and value. We're also lapping the impact of last year's strategic exits from certain non-branded clients. We remain focused on enhancing our revenue growth management strategy and strengthening our overall value proposition with innovation efforts closely aligned to the needs of key consumer demographics. We have recently launched a price value portfolio in the bread category to proactively address the slowdown in consumption trends through targeted and decisive strategies while continuing to drive growth in artisanal breads. At the same time, we are maintaining our market share across sweet baked goods, buns and rolls and snacks, reflecting the resilience and competitiveness of our portfolio. Additionally, we are actively broadening our distribution footprint to meet consumers where they shop, leveraging channel-specific price pack architectures to deliver compelling value across the board.

On the other hand, in Canada, we saw a good performance where we had share gains in bread, sweet baked goods and snacks. Despite lower commodity costs and productivity gains, our adjusted EBITDA margin contracted by 130 basis points. This was primarily due to the soft top line performance and the continued strategic investments in the transformation project aimed at optimizing our go-to-market capabilities in the long term and increasing saturation with improved execution to enable growth as we serve more effectively our customers and consumers. Moving forward, we will remain focused on proactively seeking opportunities to improve productivity, expand distribution and grow market share by connecting with consumers at every shopping opportunity.

Moving on to Latin America. Excluding FX effect, net sales increased 5.2%, mainly because of strong trends across the region, highlighting double-digit rates in Brazil and the Latin Sur division, as well as solid growth in the Central America region. Argentina

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continues to deliver strong sales growth, and Chile and Colombia confirmed the change in trend seen in the back half of 2024, due to our ability to quickly implement an effective revenue growth management strategy. As a result, adjusted EBITDA margin expanded 50 basis points.

The acquisitions of Pagnifique and La Zarcerena also contributed to the inorganic growth of the region. Please be advised that we are still waiting for the authorization of the acquisition of Wickbold in Brazil, which we expect in the second half of the year. In Europe, Asia and Africa, excluding FX effect, sales increased 4.5%. This was mainly due to growth in Romania, Bimbo QSR, the U.K., India and Morocco and the inorganic contribution from the acquisitions we completed in the last 12 months, including Trei Brutari in Romania and Moulin d'Or in Tunisia.

The adjusted EBITDA margin of 7.2% remained unchanged from Q1 2024, supported by strong sales performance and lower cost of sales. However, these positive effects were mostly offset by the impact of the minimum wage increases and the phaseout of wage subsidies in Romania and weaker results in our branded business in China. In this region, we are also pending the acquisition of Don Don in the Balkans, which we expect to complete in the next month.

Earlier today, we closed the acquisition of Karamolegos Bakery in Romania, one of the country's leading baking brands in the retail channel, which enhancing our presence and enables us to further grow in this category.

With this, I would now like to turn over the call to Diego, who will walk you through our financials. Diego?

Diego Gaxiola Cuevas
Global Director of Administration & Finance

Thank you, Rafa. Good afternoon, everyone, and thank you for joining us today. After 15 years of dedicated service at Grupo Bimbo and 6 years in the Investor Relations team, Paulina Larrea will be leaving the company. We are deeply grateful for her valuable contributions and unwavering commitment throughout her time with us. We wish Pau all the best in her future endeavors.

Now moving into our quarterly results. We saw notable performance across 3 regions this quarter, with net sales reaching historic levels for our first quarter. This success was driven by our focus on innovation, productivity and engaging both customers and consumers throughout most regions. As anticipated and shared during our last earnings call, our EBITDA margin contracted due to the challenging environment in North America and the continued strategic investments we're making to transform the business. As we navigate through this volatile year, we remain confident in our ability to deliver value to our shareholders in the long term.

I'd like to dive deeper into our EBITDA margin. Regarding the same exchange rate weighted by region. Given the devaluation of the Mexican peso and considering that Mexico is our most profitable region, this has a negative impact in our regional mix, resulting in a consolidated margin dilution from this business mix effect of approximately 40 basis points. As for our capital allocation strategy, we executed approximately $260 million in CapEx during the quarter, which is 20% lower versus the first quarter of 2024. We generated almost MXN 1 billion of working capital. This improvement is related to our continuous implementation of projects to optimize working capital in all our geographies.

Our total debt closed at MXN 161 billion. This MXN 10 billion increase when compared to '24 was because of the dual-tranche Mexican bonds we issued earlier in the year for MXN 15 billion. And we reported the same net debt to adjusted EBITDA ratio as we did at the end of 2024 of 2.9x.

Reflecting our disciplined approach to financial management, we remain focused on navigating macroeconomic challenges with prudence. Despite external pressures, we have as a priority, the operational efficiency, the cost discipline and strategic resources allocation to protect margins and drive long-term value. Our strong financial foundation positions us to adapt to changing market conditions while continuing to invest in growth. We also maintain a solid liquidity position, supported by our fully available almost $2 billion committed revolving credit facility.

As discussed during our last earnings call, we expect the first half of the year to remain challenging, driven by continued investments in our North America transformation project and persistent pressure on the region's consumer environment. It's important to note that the bulk of these investments began in the third quarter of 2024, creating a difficult year-over-year comparison for this semester. And we are already seeing a sequential improvement as we expected of 150 basis points when compared with the fourth quarter of 2024. We do anticipate a gradual improvement in the second half as we begin to realize early benefits from the transformation project. So we feel confident that we will be able to deliver an EBITDA growth in the second half of the year.

To conclude, we are revising our full year guidance. We now anticipate a stronger peso of MXN 20.50 versus the MXN 21 previously expected. This MXN 0.50 adjustment represents 2 percentage points of growth on a yearly basis for Grupo Bimbo. And second,

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we also expect a softer-than-anticipated consumption environment in North America. As a result, we're making corresponding adjustments to our outlook for the year.

For sales, we now expect a high single-digit growth rate from the previous low double-digit growth rate. And for our adjusted EBITDA, we expect it to grow at a mid-single-digit rate. Consequently, we are expecting a slight margin contraction as compared to last year. While this is shaping up to be a challenging year with many moving parts and ongoing uncertainty in the macroeconomic environment of key markets, we remain confident in our long-term strategy. As a highly diversified global company and a leader in our industry, we are well positioned to navigate these headwinds. We are committed to continue to invest in our business, driving growth and creating sustainable value for our stakeholders.
We can now proceed with the Q&A session. So please go ahead.

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Question and Answer

Operator

[Operator Instructions] Your first question comes from Renata Cabral from Citibank.

Renata Fonseca Cabral Sturani
Citigroup Inc., Research Division

I have 2 here. So the first one would be if you could give us some color about the early benefits that you are already having on the investments that you have in the -- have made in the U.S. as we saw here on the release would really be helpful to us.

And my second question is regarding the revising guidance. Can you give some color on what is the main impact you are seeing other than the effects, for instance, if you are seeing with this new scenario in the globe with tariffs, a lower consumption environment that you already exceeded, but also some change in terms of commodity prices or any different fronts on the consumption behavior regarding some specific products, continuous change to private label or something like that would also be really helpful.

Mark J. Bendix
Former Executive Vice President

Renata, this is Mark Bendix from North America, and I'll answer your question first on our transformational program in North America. We are optimizing and integrating all aspects of our business in North America. That includes our people, our processes, our technologies and our systems to reach our full potential. We're refining and implementing new capabilities and technologies and processes. We are aimed at growing our customer base across all major channels, and we're investing in world-class operational efficiency. Our transformation remains aligned with our long-term expectations, and we will be experiencing increasing sequential benefits as we progress towards the long-term goals. And this is a multiyear plan, Renata. So we're going to see benefits in 3 to 4 years across that same area.

We have a strategic focus on continue to expand our offerings to the right value propositions across North America that meet all of consumers and customers' needs and categories and channels, ensuring we have the right product to meet where they shop.

And then from a productivity, our productivity target for 2025 is a record for us, and it's on track. It's driven by automation, route optimization and digital tools, including warehouse management systems and adaptation in our bakeries to drive efficiency. We're continuing to minimize waste. We're increasing labor efficiencies and our EBITDA growth is a clear priority for us. So all in all, we're changing the ways we're working through a dedicated execution engine, operating on a weekly cadence with clear accountabilities across the full P&L for North America.

Diego, I'll let you talk about the next question.

Diego Gaxiola Cuevas
Global Director of Administration & Finance

Sure. Thank you, Mark. Renata, well, first of all, let me tell you that considering the actual tariffs, the direct impact is not material for Grupo Bimbo. As the majority of the products that we export to the U.S. from Mexico do not have an impact from the current tariffs as they are within the framework of the USMCA.

The smaller adjustments to the guidance from the expectation of the environment that we're seeing in the U.S., it's more based on what we are seeing today. I think that the big unknown remains how overall tariffs might have an impact on inflation. And as a consequence of a higher inflation, then consumption disposable income for consumers and if there can be a change on consumer habits and behaviors. But today, I would say that it's still early to tell. So just to be very clear, we're not assuming any incremental impact of tariffs in the existing guidance, knowing that it is a risk that we face today.

Operator

Your next question comes from Antonio Hernandez from Actinver.

Antonio Hernandez Velez Leija
Actinver Casa de Bolsa, S.A. de C.V., Research Division

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Just wanted to see if you could provide a little bit more color on consumption trends, both in Mexico. I mean you've provided a little bit more light on North America, but what about Mexico? Where do you see maybe some pressure from a category standpoint? And do you saw any improvement throughout the quarter? Or was it soft overall? Of course, this is all excluding [indiscernible].

Rafael Pamias Romero
Chief Executive Officer

We have witnessed some softness in consumption coming mostly from the convenience channel. Despite that, we're still seeing a resilient consumer in Mexico with the retail and traditional channels showing favorable trends and convenience showing signs of recovery in April. we feel that we're going to be seeing a soft volume. But for us, there is a space to accelerate our portfolio. On one side, we have the ability to adapt our portfolio to accommodate to price value offerings. And also, we have identified enough opportunities in Mexico in key occasions, growing needs, emerging channels and some areas of the country. In fact, if I may, our strong position in Mexico and the confidence of customers and consumers alike, provide margin of maneuvering to try to play the whole field. As you know, we're present in branded and unbranded. We are able to deliver competitive portfolio in every channel, category, occasion and need. And plus, we can even deliver fresh or frozen. And I'm proud to say that the Mexican teams also have an ability to adapt quite quickly. So all in all, we see a softer scenario, a resilient consumer and opportunities for us to try to beat the tails, the wind tails and keep growing.

Operator

Your next question comes from Felipe Ucros from Scotiabank.

Felipe Ucros Nunez
Scotiabank Global Banking and Markets, Research Division

So my first question is on North America. So it looks like last quarter was the bottom for margins as you guys have forecasted, and we did see some sequential improvement. Can you give us an idea of what the quarter was like both in sales and EBITDA, if you adjust for the businesses that you exited and the transformation investments? Just we understand that consumption is weak in the U.S., but just trying to understand the magnitude of that impact, if possible.

And then on EAA, the division has been coming in at around 10% EBITDA margins for the last 3 quarters, and it was slightly lower this quarter. I think you mentioned labor expenses in Romania as one of the main causes. Just wondering if there are other things in there since you're still doing M&A and deals that you haven't closed or if the majority came from that impact and whether we could assume that it's going to hit the rest of the year?

Diego Gaxiola Cuevas
Global Director of Administration & Finance

Yes. Felipe, this is Diego. On the North America question, I think, that unfortunately, we're not disclosing the specifics on the investments and the charges that we have on our results during the quarter. So unfortunately, I'm not going to be able to provide any specific comments on the first quarter.

Regarding the EAA performance during the quarter, I would say that our margins in the region are sustainable, and we believe that there is still room to continue to improve.

[Technical Difficulty]

So I would tell you that the margins are sustainable, and we continue to see a lot of room of improvement. Now unfortunately, during the beginning of the year, we started to see these 2 impacts, particularly in Romania, one that had to do with a very aggressive increase on the minimum salary of 17%. And the other is...

[Technical Difficulty]

So we also lost a benefit that subsidy that we were receiving. And these 2 created some additional pressure that we feel very confident that we're going to be able to manage and to offset and, of course, continue growing and find the productivities that will offset this more in the short term, I would say. So it is a region that we feel very optimistic to continue to see margin improvement as it has been the case in the last many quarters.

[Technical Difficulty]

Operator

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The next question is from Ben from Barclays.

[Technical Difficulty]

Your next question will be coming from Ben Theurer from Barclays.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Just 2 quick ones. So number one, and thanks for giving already a little bit of detail as to the softness of the U.S. consumer. But I wanted to understand and maybe if you can help us dig a little bit deeper as to just the competitive dynamics, what you're seeing in the different categories in the U.S. and how much of a pressure you've been getting from private label, just like general dynamics and if you're seeing also significant swings from foodservice into retail, just like the general down-trading trends? And then I have a quick follow-up as well.

Mark J. Bendix
Former Executive Vice President

Ben, this is Mark. You're right. All the categories remain challenged in the U.S. What we're seeing is we're seeing a bifurcation of consumers where economically stressed consumers are moving down to private label or other value offerings, while more affluent customers, consumers are moving to more premium products. That challenge as the largest player in the midstream or the mainstream, we have an oversized exposure to that largest segment of the category in the middle, which is where the bulk of the category declines are occurring right now. So our business and momentum do not have sufficient size to offset those losses. But what we're focused on is expanding our value segment offerings. We've just introduced in April, Sara Lee Half Loaves. We've also introduced Bimbo bread as a value component in this category as well, and it's doing exceptionally well.

Alternatively in the premium side of the business, we've expanded the distribution of Rustik and introduced a number of protein-focused products along with Artesano Hawaiian to get that premium product. So we're trying to play the high and the low. And then through RGM, we are doing selective promotions because things are a lot different now in terms of promotional response from consumers in the U.S. after the pandemic. So hopefully, that helps out a little bit, Ben.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Yes, it does. And then a quick follow-up for Diego. Thanks for the clarity on the guidance and the explanation behind that. As we look into it for certain other items, how should we think about CapEx for the year as we progress throughout the coming quarters? Are you looking into reducing some of the CapEx just given that there might not be the need for it? So just how to think about CapEx, but also need for working capital? Any update that you can give us on cash flow items, that would be great.

Diego Gaxiola Cuevas
Global Director of Administration & Finance

Sure, Ben. You probably noticed and everybody noticed and I would probably highlight with this question that it was a quarter in which we were able to generate positive free cash flow, $18 million. And this is because even though having a lower -- I mean EBITDA excluding the FX effect and the challenges that we have already discussed during the call, we are being, I would say, cautious and looking for efficiencies on the way that we execute our CapEx program, and that led us to a total investment program in the first quarter of $260 million.

I'd say we are still not adjusting the forecast. If you remember, we said at around $1.4 billion to $1.5 billion. Today, I would probably feel more in the low end of the range. We're still analyzing several projects. So that's why we still didn't want to adjust the guidance, but I wouldn't be surprised if in the next quarter, we move the number slightly below the initial guidance. That's for the CapEx.

For the working capital, as you saw, we generated close to MXN 1 billion, $40-something million of positive working capital during the first quarter. We have been working very intensively internally to improve our working capital position. We still see a lot of opportunities in many different lines and many different geographies. So I would say that I feel confident that we will also generate cash from our working capital as opposed to last year, okay? So we have an easy point of departure without taking any merit from the whole program that we have been executing. So I think it's -- on that regard, it's going to be a positive year and of course, will help us to improve our financial position.

Operator

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Your next question comes from Alvaro Garcia from BTG.

Álvaro García
Banco BTG Pactual S.A., Research Division

Diego, Rafael, Mark. My first question is on innovation. I guess, maybe for Rafael or Mark about how you think about innovation in this environment? Obviously, a lot of shift in consumer habits, people trying new ingredients, but at the same time, probably a tougher environment to sort of lean into innovation. So any thoughts with regards to innovation, specifically in the U.S. would be helpful.

And my second question is on private label in Mexico, something we discussed on this call quite a bit. I was just wondering, Rafael, if you could comment on the degree of change or the degree of, let's say, how the consumer is taking on private label bread in Mexico. It's a new sort of sort of phenomenon. I know you're present in the space, but any sort of comments with regards to that would be very helpful.

Mark J. Bendix
Former Executive Vice President

I'll start out on innovation, and you can augment as necessary. Alvaro, our strategic focus on innovation is multi-brand channel and format strategy to capture younger and new consumers. Refreshing our portfolio with new flavors, products, price pack architecture. Examples include Butter Buns from Bimbo, Thomas Protein Bagel, the expansion of Muffin tops, Thomas' Croissant Bread, Sara Lee Half Loaves, all of those things addressing underpenetrated consumers, including value-oriented consumers and products to meet the evolving consumer needs. We have execution precision, improving in-store availability and going after the healthy space with the advent of GLP-1 drugs, we need to have products that meet that consumer and high protein is a way to get there, including plant-based and high-protein breads and snacks.

Rafael, if there's something else you want to add?

Rafael Pamias Romero
Chief Executive Officer

Yes. I would -- thank you, Mark. What I would complete is, Alvaro, by saying that we have an extended meaning for innovation. So we go from very actively pursuing price pack architecture to be close to those demographics that are having some more trouble to reach month end. But also, we have developed worldwide the premium segment portfolio, which is growing in many geographies, double digits. So there is a space for price pack architecture for value offerings, but also there's a lot of appetite for the premium segment.

And last but not least, I mean, we are still having the opportunity to cover better key occasions and growing needs, notably in the health and wellness, but also pushing the transition from artisan -- artisanal bread and sweet baked goods into the packaged category. So we see plenty of opportunities if we do them right.

And I would move to private label in Mexico. And what I would say is that private label are increasing in Mexico, where definitely, our mission is to follow the shopper wherever they go. So in this sense, we are ready to commit to those who push private label, notably modern trade and hard discounters into a complete offering that will have branded and unbranded propositions. And so far, we are quite active on the bread category in important customers, and we plan to grow more to make sure that we go where our shopper is going to feel more comfortable with completing their shopping missions. So you will see more of us in such an arena.

Operator

Your next question comes from Julio Cesar Martinez from SURA Investments.

Julio Cesar Martinez

My question has been answered.

Operator

Your next question will then come from Federico Galassi from Rohatyn Group.

Federico Galassi
TRG Management LP

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One question related to the cash position. You almost doubled the cash position, almost $900 million, and you have a maturity in 2026. This increase in cash is for this maturity or for the other acquisition that you did -- or you are planning to do in the competition? And the last question is, the new acquisition in Eastern Europe, did you pay or you have to pay? So again, just thinking in the cash position.

Diego Gaxiola Cuevas
Global Director of Administration & Finance

Federico, let me -- I will probably start by the second one. We already paid for this acquisition. It's small but relevant for Romania, a strategic acquisition. We already paid for it literally today in the morning Europe time. So that's why Rafa during the call announced this, and it's also in the press release of a recent event.

Regarding the cash position, you're right. We ended the quarter with a very strong cash position that has to do with the issuance of the certificado bursatil that we did at the beginning of the year, the MXN 15 billion issuance. We anticipated the needs that we have, I would say, with the combination, of course, of the 2 M&A projects that were announced last year, Don Don in Europe and Wickbold in Brazil. So we thought it was a good momentum to go to the market, issue the debt and make sure that we have the money, not only for the acquisitions. Also remember that we -- although we're lowering the CapEx as compared to last year and an important reduction as compared to 2 years ago, it's still, I would say, a very active investment program that we have. So I wouldn't link this issuance to the maturity that we have in 2026, MXN 10 billion of a certificado bursatil as well, which is more towards the end of 2026, October of 2026. So for that liability management, we still have a lot of time.

Operator

Your next question comes from Fernando Olvera from Bank of America.

Fernando Olvera Espinosa de los Monteros
BofA Securities, Research Division

Sorry if I missed the answer. Just wanted to check regarding the new guidance for the year of EBITDA growing mid-single digits, I mean this lower growth is mainly explained by North America, or is there something else?

Diego Gaxiola Cuevas
Global Director of Administration & Finance

Yes, Fernando. Let me -- I will try to provide you with a little bit of detail. First, what we are assuming and the most relevant component on the adjustment for the guidance for the year has to do with the change that we're doing on the assumption of the exchange rate for 2025. As you know, it has been very volatile. A few weeks ago, we were above MXN 21. Now we're seeing the peso of MXN 19.50. So I wouldn't still feel confident on the assumption, but we believe that it was probably a little bit of the range to continue to assume MXN 21 for the average of the year. In the first quarter, the average was MXN 20.40-something. Of course, we do not think that it's going to remain at MXN 19.50, but doing our calculations and the best effort that we can do and again, not assuring any -- that we're going to be accurate, we think it was responsible to lower this number.

By lowering the exchange rate with the diversification that we have in Grupo Bimbo, having almost 2/3 of our revenues outside of Mexico, we're having a decrease in our top line growth of approximately 2 percentage points. So if you think that we provided a couple of months ago an expectation of low double digit, considering these 2 percentage points, you basically go down to a high single digit. That's for the top line. On top of the exchange rate, it's clear that we're seeing a more challenging environment in the U.S. So we did adjusted our expectation for the operations in North America, mainly because of the U.S., not in Canada. So this again, it is not as big as the adjustments on the exchange rate remains on the expectation of a high single digit. That's for the top line.

Now if we go to the EBITDA line, we also have a very important component, approx 50% of our EBITDA outside of Mexico. Lowering the exchange rate means a lower growth. But here, a little bit more impactful than the exchange rate, it's lowering our top line expectation in the U.S. with the flow-through on the profits of the company. So because of this, we are moving our expectation on margins from a slight margin increase to a slight margin decrease. So I just wanted to be clear that it is very relevant the adjustment that we're doing on the exchange rate. It is not the only one. We are also adjusting our expectations for North America with a lower impact than the exchange rate.

Fernando Olvera Espinosa de los Monteros
BofA Securities, Research Division

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Got it. And my second question also related to North America. You mentioned that you saw some pressure from labor costs. Can you give us more color on that? What was the reason behind that? And what should we expect going forward?

Diego Gaxiola Cuevas
Global Director of Administration & Finance

Well, yes, if I got your question correctly, I'm sorry, Fernando, this has not been very clear on the communication. But what we mentioned on labor cost is more, let's say, on a global point of view, not necessarily focused for North America. Specifically in EAA and if we go more granular in Romania, we had an important increase in the cost of labor. Now in some other regions, we're still seeing some pressure in one hand because of inflation. In other operations like in the U.S. because of having lower volumes and with the operating leverage that we have in the company, of course, we're losing part of the margin because of the cost of labor. In some other markets, because salaries are going up, continue to go up as is the case of Mexico. So I would say that overall, we're seeing some inflation in labor, particularly the effect that I mentioned in Romania is the one that made us to put the comment more than North America.

Operator

[Operator Instructions] Your next question comes from Nicole Helm from MetLife.

As there are no further questions then, this does conclude our question-and-answer session. I would now like to turn the conference back to Mr. Pamias for any closing remarks.

Rafael Pamias Romero
Chief Executive Officer

Thank you all for your time today. Please do not hesitate to contact us with any further comments or questions you might have. Thank you very much for joining, and have a great day.

Operator
The conference has now concluded. Thank you for attending today's presentation. You may now disconnect.

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